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Financial Data Analysis using Excel

Book name: Financial Data Analysis with Excel 2016

Q.1 _____ function is useful to calculate the value based on current date and time.	
A. NOW()	B. TIMEVALUE()
C. TODAY()	D. DAY()
Correct Answer: A	
Reference: page no 318, Session 7	

Q.2 Default date for a time is taken as _____	
A. January 0, 1901	B. 01 January 1990
C. 0 January 2000	D. January 0, 1900
Correct Answer: D	
Reference: page no 321, Session 7	

Q.3 The _____ function is used to calculate the interest amount of the EMI	
A. IRR	B. IPMT
C. TIMEVALUE	D. FIXED
Correct Answer: B	
Reference: page no 348, Heading 8.2.1	

Q.4 A _____ is a valuation method used to evaluate the worth or value of a possible investment.	
A. Annuity Cash Flow	B. Financial Calculations
C. Financial Budgeting Model	D. Discounted Cash Flow
Correct Answer: D	
Reference: page no 354, Heading 8.3	

Q.5 Which of the following functions calculates the internal Rate of Return for a series of cash flows occurring at irregular intervals?	
A. IRR()	B. IPMT()
C. XIRR()	D. PPMT()
Correct Answer: C	
Reference: page no 357, Heading 8.3.2	

Q.6 The _____ function is used to calculate the net present value from a series of uneven cash flows.	
A. IRR()	B. XIRR()
C. XNPV()	D. NPV()
Correct Answer: D	
Reference: page no 359, Heading 8.3.3	

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Q.7 Which of these functions in excel is used to calculate the value at the intersection of the y axis of a linear regression line when supplied with a set of x and y values?

A. RSQ()

B. INTERCEPT()

C. XIRR()

D. XNPV()

Correct Answer: B

Reference: page no 363, Heading 8.4.2

Q.8 The _____ function calculates the linear trend line through a given set of y- values and a given set of x-values

A. RSQ()

B. INTERCEPT()

C. TREND()

D. SLOPE()

Correct Answer: C

Reference: page no 365, Heading 8.4.4

Q.9 Which of the following function calculates the value of regular payments that need to be made to repay a loan?

A. PMT()

B. IPMT()

C. XIRR()

D. XNPV()

Correct Answer: A

Reference: page no 344, heading 8.2

Q.10 Which excel financial function measures the profitability of a proposed investment over a specific period?

A. RSQ()

B. IRR()

C. XNPV()

D. IPMT()

Correct Answer: B

Reference: page no 355, Heading 8.3.1

Q.11 A _____ is a set of financial and operating variables based on which the projected cash flow within a business may be analyzed.

A. Strategy

B. Model

C. Value

D. Scenario

Correct Answer: D

Reference: page no 344, Heading 8.1

Q.12 In the NPV() function, how does one express all payments?

A. Negative values

B. Numeric values

C. Positive values

D. Cost

Correct Answer: A

Reference: page no 359, Heading 8.3.3

Q.13 You can use the _____ function to determine monthly risk-free rates based on monthly portfolio returns and monthly market premium.

A. INTERCEPT()

B. TREND()

C. SLOPE()

D. XNPV()

Correct Answer: A

Reference: page no 364

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Q.14 Which of the following are functions that excel provides to calculate financial year, financial quarter, and maturities? [Multiple Choice]	
A. CHOOSE()	B. EDATE()
C. TIME()	D. NOW()
Correct Answer: A, b	
Reference: page no 324, Heading 7.1.3	

Q.15 Which function provides the decimal number of the time represented by a text string?	
A. Minute()	B. TimeValue()
C. Time()	D. Day()
Correct Answer: B	
Reference: page no 317	

Q.16 Which of the following functions can companies use to calculate the current age of the employees and may held a trigger to send emailers when an employee reaches an age limit?	
A. Year()	B. Date()
C. Today()	D. Timestamp
Correct Answer: C	
Reference: page no 316	

Q.17 Identify the function that excel provides users to ensure compatibility with other spreadsheet programs	
A. Value()	B. Text()
C. IsNumber()	D. TimeValue()
Correct Answer: A	
Reference: page no 335, Heading 7.3.2	

Q.18 If you are in a situation where the excel workbook needs to be linked to another file on the network or on the web, Which of the following option would you choose?	
A. Reference link	B. Workbook
C. Bookmark	D. Hyperlink
Correct Answer: D	
Reference: page no 377, Heading 9.1.1	

Q.19 Which of the following term is an organized method of constructing various scenarios within a financial model to accurately evaluate changes to the outcomes when internal and/or external factors are modified?	
A. Discounted cash flow	B. Dynamic financial analysis
C. Annuity cash flow	D. Financial budgeting model
Correct Answer: B	
Reference: page no 344, Heading 8.1	

Q.20 Which of the following are common terms used in financial modeling? [Multiple Choice]	
A. Dynamic Financial analysis	B. Strategy
C. Financial Budgeting Model	D. Discounted cash flow
Correct Answer: A, B, D	
Reference: page no 344, Heading 8.1	

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Q.21 Identify which of the following are arguments of the XNPV() function	
A. (rate, value1, [value2],[value3],...)	B. (values,[guess])
C. (rate,per,nper,pv,[fv],[type])	D. (rate,values,date)
Correct Answer: D	
Reference: page no 361	

Q.22 Olivia has taken a housing loan for \$2, 50,000. The loan is to be repaid monthly over 15 years over interest rate of 10% per annum. Which of the following functions should she use to calculate the monthly EMI amount and its individual components?	
A. IRR() and XIRR()	B. IPMT() and PPMT()
C. NPV()	D. SLOPE()
Correct Answer: B	
Reference: page no 350	

Q.23 _____ function return TRUE if the value refers to an empty cell.	
A. ISNUMBER()	B. MINUTE()
C. EDATE()	D. ISBLANK()
Correct Answer: D	
Reference: page no 332, Heading 7.2.1	

Q.24 To format numbers with text and symbols, Excel provides the _____ function.	
A. ISTEXT()	B. TEXT()
C. NUMBER()	D. VALUE()
Correct Answer: B	
Reference: page no 333, Heading 7.3.1	

Q.25 _____ refers to the current time for executing an activity.	
A. Trigger	B. Timestamp
C. Date Trigger	D. Formula
Correct Answer: B	
Reference: page no 322	

Q.26 _____ function converts a number to text format and also adds a currency symbol.	
A. Number()	B. Dollar()
C. IsBlank()	D. Fixed()
Correct Answer: B	
Reference: page no 335, Heading 7.3.3	

Q.27 _____ function provides the number of days between two dates	
A. Date()	B. EDate()
C. Month()	D. Days()
Correct Answer: D	
Reference: page no 312, Heading 7.1	

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Q.28 The _____ function has no arguments	
A. TIMEVALUE()	B. FIXED()
C. TODAY()	D. MINUTE()
Correct Answer: C	
Reference: page no 316	

Q.29 The format of the date entered must match with the _____ format	
A. Time date	B. System date
C. year	D. month
Correct Answer: B	
Reference: page no 317	

Q.30 which of the following options are the arguments of the PMT() function	
A. (rate, per, nper, pv, [fv], [type])	B. (values, [guess])
C. (values, dates, [guess])	D. (rate, nper, pv, [fv], [type])
Correct Answer: D	
Reference: page no 345	

Q.31 Identify the process that connects the two workbooks such that data in one dependent on the data in the other.	
A. Summarizing	B. Budgeting
C. Linking	D. Financial Budgeting Model
Correct Answer: C	
Reference: page no 374, Heading 9.1	

Q.32 The _____ feature in Excel helps to view data in logical arrangement that help aggregate and summarize value more easily.	
A. Sort	B. Filler
C. Subtotals	D. Linking
Correct Answer: B	
Reference: page no 382	

Q.33 Which of the following functions can be used to determine the rank for each alphanumeric value given in a list.	
A. NUMBERS	B. IF
C. NPV	D. COUNTIF
Correct Answer: D	
Reference: page no 399	

Q.34 the _____ function then automatically adds the numeric value in the cell range immediately above it or to its immediate left.	
A. COUNTIF	B. NUMBER
C. SUM	D. IRR
Correct Answer: C	
Reference: page no 381, Heading 9.2.1	

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Q.35 _____ help convert large amount of tabular data into an easy to comprehend format.	
A. Pivot table	B. INTERCEPT
C. function	D. subtotal filter
Correct Answer: A	
Reference: page no 388	

Q.36 In the DAY() function, what does the (serial _ number) represent?	
A. Date of the day	B. Time of the day
C. month	D. Timestamp
Correct Answer: A	
Reference: page no 314	

Q.37 ----- functions provides the sequential serial number of a given date.	
A. EDATE()	B. DATE()
C. DAY()	D. MONTH()
Correct Answer: B	
Reference: page no 313	

Q.38. ----- function provides the serial number of the last day of the month.	
A. EOMONTH()	B. EDATE()
C. DAY()	D. MONTH()
Correct Answer: A	
Reference: page no 314	

Q.39 To calculate the financial quarter for a specified date, the ----- function can be used.	
A. EDATE()	B. DAY()
C. MONTH()	D. CHOOSE()
Correct Answer: D	
Reference: page no 325	

Q.40 Excel includes the ----- function to calculate maturities.	
A. DATE()	B. TIMEVALUE()
C. EDATE()	D. EMONTH()
Correct Answer: C	
Reference: page no 326	

Q.41 Which of the following functions formats the number in decimal formats and gives the result as text?	
A. ISNUMBER()	B. VALUE()
C. TIMEVALUE()	D. FIXED()
Correct Answer: D	
Reference: page no 336	

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Q.42 Which of the following is a workbook that contains the reference to the external cells?	
A. Excel workbook	B. Dependent workbook
C. Existing file	D. Source workbook
Correct Answer: B	
Reference: page no 374, Heading 9.1	